

W

ITH AN ESTIMATED GROSS DOMESTIC PRODUCT (GDP) GROWTH OF 6.5% IN FY25, INDIA REMAINS THE FASTEST-GROWING MAJOR ECONOMY IN THE WORLD. THOUGH THAT RATE WAS THE SLOWEST IN FOUR YEARS, THE GOOD NEWS IS THAT INDIA WILL RETAIN THE FASTEST-GROWING LARGE ECONOMY TAG IN THE COMING YEARS AS WELL WITH THE INTERNATIONAL MONETARY FUND (IMF) PEGGING ITS GROWTH AT 6.2% IN CALENDAR YEAR 2025 AND 6.3% IN 2026.

As per the IMF, India is set to become the fourth-largest economy this year, overtaking Japan, with experts continuing to bet on its long-term potential. A new report by BofA Securities says nine structural themes beneficial for India's long-term growth outlook are likely to play out. These are rapid infrastructure build-up; productivity gains through energy efficiency, better logistics infrastructure; improved capital-output ratios; digitisation, financialisation, resilience of household savings; rise in discretionary consumption; formalisation through the goods and services tax (GST); UPI and e-invoicing; decarbonisation; and current account surplus through exports push. "India is likely to become the third-largest economy in the world in this decade, surpassing Germany," says Amish Shah, Head of India Research at BofA Securities.

But the manufacturing sector remains a concern. Growth in gross value added (GVA) in the manufacturing sector slowed considerably to 4.5% in FY25 from 12.3% the previous year. In FY25, its contribution to overall GVA declined marginally to just 14% from an already modest 14.3% in FY24. In fact, it has been on a downward trajectory in recent years, declining from 17.4% in FY12, despite the government's ambitions to grow it to 25%.

For comparison, in 2023, manufacturing GVA as a share of GDP was 26% in China and 24% in Vietnam, as per the World Bank data.

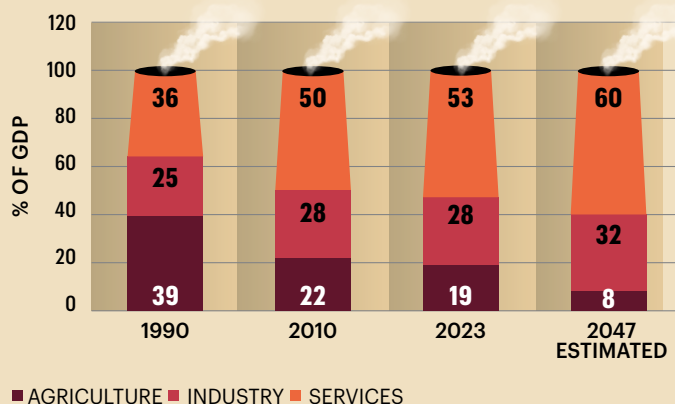
Going forward, analysts say this fiscal is likely to remain challenging for the manufacturing sector, in particular, amidst concerns over trade and tariff policies of the US as well as tepid urban demand.

CONTINUING FALL

Successive governments have adopted a number of strategies to turn India into a global manufacturing hub, but they haven't been successful in stemming the steady slowdown in manufacturing over the past few decades, even as they shifted focus to a carefully thought-out strategy from the later part of the 1990s to promote the services sector.

SMALL CONTRIBUTION

- India's GDP could reach \$23–35 trillion by 2047, supported by strong growth in services and manufacturing
- Manufacturing contributed 14% to the GDP in FY25



NOTE INDUSTRY INCLUDES MANUFACTURING, MINING, CONSTRUCTION, AND UTILITY SERVICES

SOURCE INDIA @2047: TRANSFORMING INDIA INTO A TECH-DRIVEN ECONOMY REPORT BY BAIN & COMPANY AND NASSCOM